CREDIT MEMORANDUM

Whirlpool Corporation (NYSE: WHR) — $150 million participation in a $2.0 billion senior secured ABL facility

Prepared by Taruni Komma | October 18, 2026 | Financials through June 30, 2026

Portfolio exercise prepared from public filings and market data; not an actual lending decision or investment advice.

1. Request and recommendation

Item	Detail
Borrower	Whirlpool Corporation and certain U.S. and Canadian subsidiaries
Facility	$2.0B senior secured asset-based revolving credit facility (closed June 16, 2026)
Proposed commitment	$150 million (7.5% of the facility)
Pricing / maturity	SOFR + 1.50–2.00% based on availability; five-year term (June 2031)
Security	First-priority lien on receivables, inventory, IP, machinery and equipment, cash
Key covenant	Springing fixed charge coverage ≥ 1.00x when availability < greater of 10% of line cap and $135mm
Obligor risk rating	7 — Special mention (watch list)
Facility risk rating	6 — Pass / watch (one notch of collateral uplift)
Recommendation	APPROVE the secured ABL participation with the conditions in Section 10. Decline unsecured exposure.

2. Executive summary

- **Weak and deteriorating obligor.** Whirlpool's credit profile has weakened sharply. LTM EBITDA fell to $781mm (5.2% margin) from $1,552mm in FY2023, and net debt / EBITDA rose to 7.5x.
- **Covenant pressure triggered the refinancing.** LTM EBITDA / interest of 2.5x is below the 3.0x minimum in the old revolver. The May 2026 amendment excluded the Q1 2026 test and forced a refinancing, completed June 16, 2026.
- **Refinancing bought time at a high cost.** The new $2.0B of second-lien notes (7.50% and 7.875%) lift run-rate interest to about $418mm, so coverage on LTM EBITDA drops to roughly 1.9x.
- **The ABL is protected by structure.** The ABL lends only against a borrowing base. My conservative estimate is about $1.45B, with recovery value of 1.18x the line cap even with IP excluded. The ABL also ranks ahead of the $2.0B second-lien notes and the unsecured bonds.
- **Base case recovers; stress case does not.** In the base case, which follows management guidance, net leverage falls to 4.6x by FY2028. In the stress case it stays near 8x and the company needs about $600mm of extra borrowing. That is why the conditions focus on availability and dividends.

3. Company overview

Whirlpool is the largest North American home appliance manufacturer (brands include Whirlpool, KitchenAid, Maytag and JennAir), with FY2025 net sales of $15.5B. After contributing its European business to a joint venture and reducing its India stake, the company is concentrated in North America, where demand is tied to housing turnover, remodeling and replacement cycles. Competition from Asian manufacturers and tariff-driven pricing swings have compressed margins since 2023.

4. Recent developments

- **Earnings collapse in H1 2026.** Q1 and Q2 2026 ongoing EBIT margins fell to 1.3% and 1.8% on what management called a recession-level U.S. industry decline, IEEPA tariff refund disruption to pricing, and inventory reduction costs.

- **Ratings now high yield.** Moody's moved from Baa3 to Ba3 between April 2025 and June 2026; S&P and Fitch are at BB. All three agencies rate the company below investment grade.
- **Refinancing completed.** On June 16, 2026 Whirlpool issued $2.0B of second-lien secured notes and closed the $2.0B ABL. It used the proceeds to tender for its 2026 and 2027 euro notes and repay the unsecured revolver.
- **Bond market signals elevated risk.** As of October 15, 2026, its unsecured notes trade at 76–92 cents with yields to worst of 8.6%–11.8%. The 2034 secured notes yield 10.0%.
- **Guidance reduced.** Full-year 2026 guidance was cut to sales of about $15.0B, ongoing EBIT of about $630mm and free cash flow above $300mm.

5. Financial analysis

$ millions	FY2023	FY2024	FY2025	LTM Jun-26
Net sales	19,455	16,607	15,524	14,921
EBITDA (ongoing EBIT + D&A)	1,552	1,220	1,067	781
EBITDA margin	8.0%	7.3%	6.9%	5.2%
Free cash flow (CFO − capex)	366	384	78	(175)
Total debt	7,231	6,626	6,520	7,068
Net debt / EBITDA	3.6x	4.4x	5.5x	7.5x
Total debt / EBITDA	4.7x	5.4x	6.1x	9.1x
EBITDA / interest	4.4x	3.4x	3.1x	2.5x
Headroom vs. 3.0x covenant	47%	14%	4%	(18%)

Leverage has doubled in three years as EBITDA fell faster than debt was repaid. Cash flow is highly seasonal: the first half of 2026 consumed $1.1B of free cash flow as inventory and payables unwound, which makes revolver availability, not annual free cash flow, the binding constraint in the first half of each year. Debt to capital improved to 64% at June 2026 because reported equity rose by $1.2B in the first half, which does not reflect better cash generation.

6. Projections and stress test

	Base FY26E	Base FY27E	Base FY28E	Stress FY26E	Stress FY27E	Stress FY28E
EBIT margin	4.2%	5.0%	5.5%	2.5%	2.5%	3.0%
EBITDA ($mm)	1,000	1,140	1,247	738	732	808
Free cash flow ($mm)	281	185	291	59	(72)	12
Net debt / EBITDA	5.8x	5.1x	4.6x	8.1x	8.6x	8.0x
EBITDA / interest	2.9x	2.7x	3.0x	2.1x	1.7x	1.8x
Fixed charge coverage	0.94x	1.02x	1.21x	0.52x	0.48x	0.63x

The base case follows management's revised 2026 guidance and assumes a gradual margin recovery to 5.5%. The stress case assumes two more years of falling volumes, margins stuck at 2.5–3.0%, and the dividend maintained. Under stress, cumulative free cash flow after dividends is about −$606mm over FY2026–FY2028, funded by revolver borrowings. In both cases, fixed charge coverage is below 1.0x in at least one year. If the springing test were triggered, it would fail, so the borrower must keep availability above the trigger (about $145mm on my borrowing base estimate).

7. Collateral and structure

Collateral (US & Canada borrowers, Dec-25 balances)	Book ($mm)	Recovery basis	Borrowing base ($mm)
Accounts receivable (65% in borrower group, 85% eligible, 85% advance)	1,276	Face	599
Inventory (65%, 80% eligible, 60% NOLV, 85% advance)	2,307	NOLV	612
Machinery & equipment (65%, 50% eligible, 40% OLV, 85% advance)	2,194	OLV	242
Estimated borrowing base / line cap			1,453

Lending is capped at the lower of the $2.0B commitment and the borrowing base, so the bank's exposure is always backed by eligible collateral. At recovery values before advance rates, the collateral covers about 1.18x the estimated line cap. That excludes intellectual property, which the facility does include, so coverage is likely understated. The ABL's first lien ranks ahead of the $2.0B second-lien notes and at least $1.9B of unsecured notes, which absorb losses first in a restructuring.

8. Key risks and mitigants

Risk	Mitigant
Prolonged U.S. housing and appliance downturn	Borrowing base shrinks with working capital, limiting exposure; monthly reporting
Interest burden after 7.5–7.9% secured notes	No bond maturity until February 2029; ABL ranks ahead of the notes
Seasonal first-half cash burn ($1.1B in H1 2026)	Availability covenant and cash dominion trigger keep a liquidity floor
Dividend of ~$200mm while leverage is high	Proposed dividend blocker when availability or FCCR falls below triggers
Further rating downgrades / market access	Secured, short-dated revolving exposure; no reliance on capital markets to repay
Collateral value (inventory obsolescence, tariffs)	Semi-annual field exams and inventory appraisals; eligibility reserves

9. Risk rating

The weighted scorecard gives 3.65 out of 5. Leverage scores 5 (25% weight), coverage 4 (20%), cash flow 4 (10%), liquidity 2 (15%), business profile 3 (20%) and financial policy 3 (10%). That maps to obligor rating 7, Special mention. Collateral recovery of 1.18x the line cap earns a one-notch uplift, so the ABL facility rates 6, Pass / watch. The obligor should be placed on the watch list and reviewed quarterly.

10. Recommended conditions

- Monthly borrowing base certificates; weekly reporting if availability falls below 20% of the line cap.
- Field exam and inventory appraisal at least twice a year, with eligibility reserves for slow-moving and tariff-affected inventory.
- Dividend and share repurchase blocker when availability is below 20% of the line cap or fixed charge coverage is below 1.0x.
- Cash dominion trigger at availability below 12.5% of the line cap, ahead of the springing FCCR threshold.
- Quarterly financial covenant and liquidity review. Downgrade the facility rating if LTM EBITDA falls below $700mm or net leverage exceeds 8.5x.

Sources

- Whirlpool Q4 2025 earnings release
- Whirlpool Q4 2024 earnings release (8-K Ex. 99.1)
- Whirlpool Q1 2026 results

- Whirlpool Q2 2026 results
- Q1 2026 Form 10-Q (credit facility and covenant)
- 8-K summary: secured notes and ABL (June 2026)
- Bond prices, yields and ratings (Oct 2026)
- FY2025 Form 10-K